

KAVACH REGULATORY AUTHORITY

Department of Financial Supervision, Mumbai - 400001

Circular No: KAVACH/2024/06

Date: 01 September 2024

[Note: Overlapping scope with KAVACH/2024/03]

Re: Detection of Round-Tripping and Layering Through Domestic Transfers

1. REs shall implement graph-based monitoring to detect round-tripping: funds traversing 3+ accounts returning to originator within 7 calendar days.
2. Layering via domestic channels: 4+ sequential hops within 72 hours where each intermediate account holds funds under 4 hours. This supersedes the layering definition in KAVACH/2024/03 para 4 (3 hops/48 hours for wire transfers).
3. Closely linked accounts include: same customer, immediate family, entities with 25%+ ownership by the customer.
4. System shall trace 5+ hops and flag chains where: (a) Total amount within 5% of original, (b) All transfers within business hours, (c) Vague narrations like payment or transfer.
5. When detected: (a) All chain accounts on 180-day watch list, (b) STR for each account, (c) Aggregate value reported to FIU-IND.
6. REs shall deploy ML models on known round-tripping patterns for near real-time scoring. AML team review within 24 hours.

SYNTHETIC circular for demonstration. Not actual regulatory guidance.